

Module 4: Markets and Getting to Them

Assignment Sheet: SPARK

Questions:

Questions	Answers
After launch, describe which channels you will use to reach other customers in the subsegment. Through direct sales? Independent sales reps? Systems Integrators? Wholesalers or distributors? Dealers or resellers? Original Equipment Manufacturers (OEMs)? Does your customer segment already buy other products through channels you could leverage?	SPARK will initially use a direct sales approach to engage commercial building operators in the warehouse and logistics subsegment. These customers often procure energy-related products through vendors and integrators during retrofit or capex upgrade cycles. We will leverage relationships Solar service providers, and energy performance contractors, many of whom already manage building system upgrades. Over time, we plan to partner with Real Estate Investment Trusts (REITs) and select facility tech platforms as distribution multipliers.
Have you validated the chosen channel by talking to key people? Explain how the partners you have approached represent a profitable and willing route to the end user.	We've spoken to facilities directors, asset managers, and MEP consultants serving the warehouse and industrial real estate space. These stakeholders consistently cited the need for simpler ways to improve energy performance without major infrastructure changes. Integrators and contractors see value in offering SPARK as a low-friction, high-ROI intelligence layer that complements—but does not replace—existing controls. These partners are motivated to resell SPARK because it unlocks value quickly and does not require expensive electrical retrofits or panel replacements.
Have you also investigated partnering with companies that currently sell related products to the same customer? Explain.	Yes. We have begun exploratory discussions with companies offering building automation, DER integration, and energy procurement services. By positioning SPARK as a modular intelligence layer, we can integrate or overlay existing systems to deliver coordinated decision-making. We are also exploring utility-facing aggregators and demand response providers as distribution and monetization partners, especially for multi-site customers.
Specify the second, third, and fourth most promising subsegments that are adjacent to (share some characteristics with) your	Mid-sized commercial office buildings (100k–200k sq. ft.) that face similar coordination and control challenges

target segment such that you can sell to them with only moderate tailoring of your go-to-market strategy. These segments together should represent your SAM (Serviceable Available Market).	across HVAC and lighting but lack resources for expensive BMS upgrades. • Grocery and big-box retail chains where energy cost and load variability are critical and multiple systems (e.g., refrigeration, lighting, HVAC) need synchronized control. • Light industrial and flex-space facilities with high operational energy intensity and cost sensitivity. All these segments operate under similar economic pressures and facility management models, allowing for moderate GTM tailoring.
Show that you have developed a repeatable sales model to ramp your sales from a few to many. Who are all the players in each company involved in the purchase decision? Who holds the purse strings? How many sales calls/visits are needed to make one sale? How long does an average sale take from beginning to end?	In commercial warehouses, key stakeholders include the facilities director (technical buyer), asset manager or VP of operations (economic buyer), and sometimes the ESG or energy lead (strategic stakeholder). The typical sales cycle includes an intro meeting, a technical demo or pilot proposal, and alignment on payback—totaling 3–5 touchpoints. Sales cycles are expected to range from 2 to 3 months. Our pilot-led sales model builds a clear ROI case and enables repeat sales across building portfolios.
How will you keep and grow customers? What techniques are typical for your primary customer segments?	SPARK is offered as a SaaS platform with continuous optimization, usage analytics, and support. We will retain customers through strong energy savings, operational transparency, and monthly reports that highlight value delivered. For multi-site clients, we'll create centralized fleet views and offer portfolio-level insights. Growth will come from feature expansion (e.g., DER control), multi-site rollout, and integration with broader asset management tools.
Do you know what your customer acquisition cost will be? What resources (financial or otherwise) will you have to allocate to acquire additional customers?	Our CAC for the first 100 buildings is estimated at \$4,000–\$6,000 per site, driven by direct outreach, pre-sale engineering, and site visits. As we scale and build channel partnerships, we expect CAC to fall by ~40%. We will allocate capital toward a targeted sales team, early pilot subsidies, and B2B marketing campaigns aimed at industry-specific trade shows and channels.

